Finance Administration

Memo

To: City Commission City Manager

From: Finance Director

Date: December 28, 2006

Re: Facility Naming Rights

Background

In 2005, the City received permission from the family of LC Walker to sell naming rights to the downtown Arena. This was seen as a way to generate additional cashflow to help fund Arena operating costs (i.e. reduce general fund subsidy) and to help finance replacement of facility equipment (such as boilers) that are now nearly fifty years old.

The initial approach taken was to try selling the naming rights locally using Arena management/hockey staff. The new arena management contract included a provision that paid the 10% of the "average annual amount paid for naming rights to the Arena if Manager brings the Buyer to the City and a deal is consummated." It was anticipated that this payment would be $10,000 - $12,500, based on expected annual naming rights revenue of $100,00 to $125,000.

Unfortunately, we have been unable to fashion a deal ourselves and both staff and the Arena manager now believe it is best to bring in the expertise of a consulting firm specializing in naming rights marketing.

Worst Case/Best Case

We were able to identify a small number of consulting firms with experience and expertise in brokering sports facility naming rights deals. As you might expect, much

of the activity is centered on major league sport venues and/or newly constructed facilities. In some cases it was difficult getting calls returned. However, we were able to identify one firm – Sports Facilities Marketing Group – that has developed a niche in smaller market facilities such as ours.

Tony Lisman and I have met with SFMG and believe that, based on their experience and successes in comparable markets, it would be worthwhile to retain their services. I have attached a copy of their preliminary proposal to us and have summarized the cost component below:

Item	**Best Case ($1million, 10-year deal)**	**Worst Case**
Fee	$20,000	$20,000
10% Commission (payable in first two years - $50,000/year)	100,000	0
Expenses (maximum – likely should not exceed $5,000)	7,500	7,500
Total Cost	$127,500	$27,500
Naming Rights Revenue to City	$1,000,000	$0

Recommendation

Obviously there is risk that the city ends up paying a consulting fee with no naming rights deal to show for it. However, there is also good reason to believe that the Arena's naming rights have substantial value and are marketable in the right hands – e.g. Business 31 traffic routed past marquee, highly successful hockey team, experience in other communities, etc.

Staff is recommending approval of this consulting engagement. Tony Lisman as well as representatives of SFMG will be in attendance to discuss their methodology, realistic revenue potential, and answer questions. It is anticipated that this item will be brought to the Commission for a final decision at the second meeting in January.

Thank you.

MARKETING SERVICES AGREEMENT

This Marketing Services Agreement ("Agreement") is entered into effective as of February 1, 2007, by and between the City of Muskegon, Michigan ("City") and WRCHowell, Inc., an Ohio corporation, doing business as Sports Facilities Marketing Group ("SFMG").

WITNESSETH:

WHEREAS, the City is seeking a professional marketing, advertising and sales organization to provide services supporting the marketing and sale of Sponsorships and Naming Rights to the L.C. Walker Arena (the "Arena") in Muskegon, Michigan; and

WHEREAS, SFMG is an experienced provider of marketing services in connection with sports, entertainment and convention facilities and has proposed to act as the City's exclusive representative for a turnkey Sponsorship and Naming Rights program for the Arena, as further described below; and

WHEREAS, the City desires to engage SFMG as a consultant, on an exclusive basis, to furnish such marketing services under the terms, conditions and provisions contained herein.

NOW, THEREFORE, in consideration of the foregoing and the mutual covenants set forth herein, the parties hereto agree as follows:

Section 1. Services of Consultant

A. Exclusive Representative. During the Term hereof (as defined in Section 2 below), the City hereby appoints SFMG to act as its exclusive representative to formulate a marketing program to solicit corporations, companies, partnerships, individuals and/or other entities in order to secure Sponsorships and Naming Rights for the Arena. However, It is understood that the City shall have 45 days from the date of this agreement to contact and exclusively negotiate with ALCOA for sponsorship and naming rights to the Arena outside the terms of this agreement.

The marketing services provided under this Agreement shall be referred to as the "Arena Marketing Program." The City may not sell, assign, transfer, grant or license to any other party the exclusive rights granted to SFMG hereunder.

B. Office and Staffing. SFMG shall determine, in its sole discretion, the staffing and personnel required for providing marketing services hereunder. SFMG representatives Harry C. ("Hamp") Howell, III, Tim Wicinski, Ben Wrigley and/or such other SFMG representatives, if determined necessary by SFMG due to the unavailability of one or more of the foregoing representatives, will manage the services provided hereunder.

C. Contract Administration. SFMG shall market Sponsorships and Naming Rights to the Arena in a manner consistent with the Arena Marketing Program. The City and the

purchasers of Arena Sponsorships and/or Naming Rights shall enter into Sponsorship and/or Naming Rights Agreements. The City shall use reasonable and good faith efforts to enter into Sponsorship and/or Naming Rights Agreements with potential purchasers targeted by or referred to SFMG. The City agrees to provide SFMG a copy of a final, signed version of each Sponsorship and/or Naming Rights Agreement. SFMG will oversee all contact with potential purchasers necessary to complete the execution of the Sponsorship and/or Naming Rights Agreements; however, the City hereby acknowledges and agrees that SFMG is not guaranteeing any level of purchase of, or the receipt of payment for Sponsorships and/or Naming Rights marketed by SFMG pursuant to this Agreement. The City will be responsible for all invoicing to purchasers for payments due under the Sponsorship and/or Naming Rights Agreements.

D. Scope of Services. The scope of services to be provided by SFMG hereunder are more particularly described on Exhibit A hereto.

Section 2. Term

A. Term. The term of this Agreement shall commence effective as of February 1, 2007 and shall, unless extended by the parties or unless sooner cancelled or terminated pursuant to the provisions hereof, expire on September 30, 2008.

Section 3. Compensation

A. Fee. The City shall pay SFMG a base fee (the "Base Fee") of $20,000 payable according to the following schedule:

Payment Due Date	Amount
February 1, 2007	$5,000
March 1, 2007	$5,000
April 1, 2007	$5,000
May 1, 2007	$5,000

B. Expenses. In addition to the Base Fee, the City shall reimburse SFMG for expenses incurred by SFMG during the Scope of Services, including but not limited to airfare, lodging, meals, car rental, postage, phone, parking, printing, copying and mileage ("Expenses"). The City shall only reimburse SFMG a maximum of $7,500 for Expenses. SFMG will invoice the City for Expenses on a monthly basis. The City shall reimburse SFMG for Expenses invoiced within thirty (30) days of receipt of invoice. SFMG shall submit to City invoices and supporting documentation for all Expenses. The City must notify SFMG of invoice disputes in writing no more than fifteen (15) days of receipt of invoice. If such written notification is not received by SFMG, the invoice shall be deemed accepted and approved by the City. It is expressly agreed and understood that SFMG may have, prior to execution of this Agreement, already incurred certain Expenses.

C. Commission. In addition to the Base Fee and Expenses, the City will pay a Commission ("Commission") to SFMG on the term revenue generated from any Sponsorship and/or Naming Rights Agreement ("Term Revenue") according to the following schedule:

Term Revenue	Commission Rate
$0 - $1,000,000	10.0%
All in excess of $1,000,000	15.0%[1]

[1]Commission is reduced to 12.0% until one-half of the Base Fee ($10,000) is offset.

The Commission shall be earned upon acceptance of a Sponsorship and/or Naming Rights Agreement by the City or upon payment of any revenue from the purchaser regardless of whether a Sponsorship and/or Naming Rights Agreement is actually executed. For purposes of this Agreement, Term Revenue shall equal gross revenue received or which may be received by the City under the terms of the Sponsorship and/or Naming Rights Agreement, including any and all revenue received or which may be received under any escalation thereof, before offset for any expenses and before any sponsor or advertiser benefits. Term Revenue shall include, without limitation, the fair market value of in-kind contributions received or which may be received by the City in exchange for any benefit granted by the City. Said in-kind value shall be determined and agreed to by SFMG and City prior to execution of the Sponsorship and/or Naming Rights Agreement. In addition, SFMG shall receive a Commission for any Sponsorship and/or Naming Rights Agreement entered into or revenue collected resulting from negotiations or serious discussions held during the Term hereof and concluded within six (6) months after the expiration of the Term of the Agreement and any extension thereof. This provision shall survive the expiration or early termination of this Agreement for any reason.

D. Payment Terms. Any Commission due SFMG shall be paid by the City in the first two years of the Sponsorship and/or Naming Rights Agreement in which revenue is to be received by the City, regardless whether or not the City actually receives any Sponsorship and/or Naming Rights income during the first two years of such agreement or otherwise. SFMG will invoice the City for Commission payments. The City must notify SFMG of invoice disputes in writing no more than fifteen (15) days of receipt of invoice. If such written notification is not received by SFMG, the invoice shall be deemed due and payable immediately by the City. The requirement to pay Commissions to SFMG shall survive the termination of this Agreement.

A late charge in the amount of one and one-half percent (1.5%) per month shall be applied to any payments due hereunder which remain outstanding beyond forty-five (45) days from the date of the invoice.

E. Records and Audits. During the initial term of any Sponsorship and/or Naming Rights Agreement entered into pursuant hereto, and for a period of three (3) years thereafter, the City shall maintain and retain complete, thorough and accurate books, accounts and records of revenue generated and collected by the Sponsorship and/or Naming Rights Agreement and/or as a result of the purchase of Sponsorships and/or Naming Rights, regardless of whether a Sponsorship and/or Naming Rights Agreement is actually executed. To ensure compliance with the terms of this Agreement, upon reasonable prior notice to the City, which shall be at least

three (3) business days, SFMG shall have the right to inspect, and audit the relevant books, accounts and records of the City. In the event that such inspection and audit uncovers any errors in the recording of revenue or payment of Commissions, the Commissions found to be due SFMG shall be payable within fifteen (15) days of receipt of an invoice from SFMG. This provision shall survive the expiration or early termination of this Agreement for any reason.

Section 4. Default and Remedies

A. SFMG shall be in default of this Agreement upon the happening of any of the following events:

1. If SFMG fails to observe or perform any of the covenants or agreements to be observed or performed by it hereunder and such failure continues for a period of thirty (30) days after written notice thereof is given to SFMG by City;

2. If SFMG abandons or discontinues its operations except when such abandonment or discontinuance is caused by fire, earthquake, war, strike or other calamity beyond its control.

B. Upon the happening of any one or more of the events as set forth in Paragraph A of this Section, the City may, at its option, terminate this Agreement by delivering a notice to SFMG.

C. The City shall be in default of this Agreement upon the happening of any of the following events:

1. If the City fails to observe or perform any payment obligation under this Agreement and such failure continues for a period of fifteen (15) days after written notice thereof is given to the City by SFMG;

2. If the City fails to observe or perform any other obligation under this Agreement and such failure continues for a period of thirty (30) days after written notice thereof is given to the City by SFMG.

D. Upon the happening of any one or more of the events as set forth in Paragraph C of this Section, SFMG may, at its option, terminate this Agreement by delivering a notice to the City.

E. All rights and remedies granted by either party hereunder and any other rights and remedies which either party may have at law and in equity are hereby declared to be cumulative and not exclusive, and the fact that either party may have exercised any remedy without terminating this Agreement shall not impair such party's rights thereafter to terminate or to exercise any other remedy herein granted or to which it may be otherwise entitled.

F. Notwithstanding the foregoing, or anything else in the Agreement to the contrary, upon any termination of this Agreement prior to the end of the Term, the entire amount of any unpaid Base Fees, Commissions and Expenses due SFMG hereunder shall be accelerated and shall at once become immediately due and payable by the City. Upon default by the City of any amount due by the City hereunder, all amounts due and unpaid shall bear interest at fifteen percent (15%) per annum.

Section 5. Miscellaneous

A. Ownership of Materials and Records. All marketing materials, reports, lists, information, data and any other materials obtained or prepared by SFMG in performing its obligations under this Agreement shall be City's exclusive property, and upon termination SFMG agrees to destroy and dispose of all marketing materials, reports, lists, information and data after providing to City a complete inventory and copies of all other prepared materials that shall be deemed City's work product with full rights to utilize, provided that City has performed all obligations hereunder on its part to be performed hereunder.

B. Non-Disclosure. All materials and any other information regarding City or its business, the Arena and the Arena Marketing Program that is supplied to SFMG by City or learned by SFMG during the course of its performance under this Agreement and not intended by City for public distribution shall be "Confidential Information" for purposes of this Agreement. Subject to applicable law, SFMG shall (a) keep all Confidential Information strictly secret and confidential; (b) insure that the secrecy of all Confidential Information is maintained by its employees and agents; (c) not reveal any Confidential Information to third parties; (d) promptly return all material containing any Confidential Information to City upon the expiration or early termination of this Agreement for any reason; and (e) not make any use whatsoever of the Confidential Information except for the purpose specified in Section 1 of this Agreement.

C. Assignability. City and SFMG shall not assign this Agreement without the express written consent of the other party hereto.

D. Successors. This Agreement shall inure to the benefit of and be binding upon SFMG, City and their respective successors and permitted assigns.

E. Notices. All notices, requests, demands and other communications that are required or may be given pursuant to the terms of this Agreement shall be in writing and shall be deemed given when delivered by hand or sent by facsimile transmission or on the third day after mailing if mailed by certified mail, postage prepaid, return receipt requested, as follows:

1. If to SFMG, to:

Sports Facilities Marketing Group
921 Huron Road, Suite 200
Cleveland, Ohio 44115
Facsimile: (216) 696-7144
Attn: Harry C. Howell, III

2. If to the City, to:

City of Muskegon
Attn: City Manager
PO Box 536
Muskegon, MI 49440
Facsimile: (231) 726 2325

or to such other address as any party shall have designated by notice in writing to the other parties.

F. Entire Agreement; Amendment; Waiver. This Agreement constitutes the entire agreement of the parties with respect to its subject matter and supersedes all prior agreements and understandings of the parties, oral and written, with respect to its subject matter. None of the terms or provisions of this Agreement may be changed, waived, modified, discharged or terminated except by an instrument in writing executed by the party or parties against whom enforcement of the change, waiver, modification, discharge or termination is asserted. No waiver or approval under this Agreement shall, except as may be otherwise stated in such waiver or approval, be applicable to subsequent transactions.

G. Counterparts. This Agreement may be executed in one or more counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument, and shall become effective when each of the parties hereto shall have delivered to it this Agreement duly executed by the other party hereto.

H. Headings. The headings in this Agreement are for the sole purpose of convenience of reference and shall not in any way limit or affect the meaning or interpretation of any of the terms or provisions of this Agreement.

I. Governing Law; Forum. This Agreement shall be governed, interpreted and construed pursuant to Michigan Law, and shall not be construed against the party preparing it, but shall be construed as if both parties prepared this Agreement. Venue for any dispute arising hereunder shall lie exclusively in the state courts of Muskegon County, Michigan.

J. Independent Contractor; No Partnership. SFMG is now, and shall remain throughout the Term, an independent contractor. Nothing contained in this Agreement shall be

construed in a manner to create any relationship between SFMG and the City as partners or co-venturers for any purpose on account of this Agreement and no employment or similar relationship shall be deemed to exist between the City and SFMG or any of its employees or agents.

K. Force Majeure. In the event that either party hereto is prevented from fully and timely performing any of its obligations hereunder due to acts of the public enemy, restraining by government, unavailability of materials, civil unrest, floods, hurricanes, tornadoes, earthquakes or other severe weather conditions or acts of God (collectively called "Force Majeure," financial inability to perform hereby expressly excluded) such party shall be relieved of the duty to perform such obligation until such time as the Force Majeure has been alleviated; provided, that upon the removal of the Force Majeure, the obligation prevented from being fulfilled will be automatically reinstated without the necessity of any notice whatsoever.

IN WITNESS WHEREOF, the parties have caused this instrument to be executed as of the date and year first above written.

WRCHOWELL, INC., an Ohio corporation
d/b/a Sports Facilities Marketing Group

By: Harry C. Howell III 2/5/07
Harry C. Howell, III, President Date

The City of Muskegon, Michigan

By: 2/1/07
Timothy J. Paul, Finance Director Date

EXHIBIT A

Scope of Services

a. Situational Analysis – Perform a comprehensive review of past and current activities related to Arena naming rights and sponsorships.

b. Asset Identification – Identify and quantify Arena assets for potential inclusion in naming rights and sponsorship packages.

c. Asset Valuation – Define value of Arena assets based on industry standards, valuation techniques and market conditions.

d. Inventory Development – Create naming rights and sponsorship opportunities based on prospective purchasers as well as the objectives of the City and Arena.

e. Pricing and Packaging – Recommend pricing, terms, and benefits for naming rights and sponsorship packages.

f. Identification of Prospects – Identify local, regional and national companies and organizations best suited for purchasing naming rights and sponsorships. It is understood that the City shall have 45 days from the date of this agreement to contact and exclusively negotiate with ALCOA for sponsorship and naming rights to the Arena outside the terms of this agreement.

g. Sales Strategy – Develop strategic marketing and sales plan for naming rights and sponsorship packages.

h. Sales Materials – Creation of high impact PowerPoint presentations for naming rights and sponsorship opportunities.

i. Sales Execution – Provide SFMG principals and staff to execute sales program.

j. Contract Administration – Coordinate execution of contracts between sponsors and the City.

RECEIVED
FEB 08 2007
CITY OF MUSKEGON FINANCE